

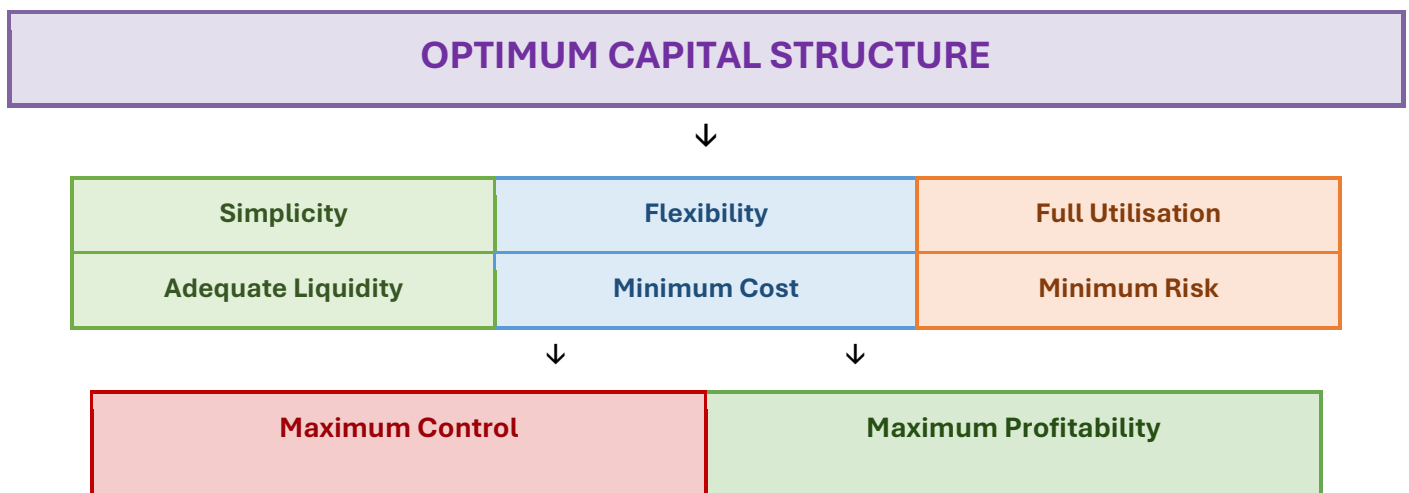
OPTIMUM CAPITAL STRUCTURE

Meaning

Optimum Capital Structure refers to the **best combination of equity share capital, preference share capital and debt** that helps a company **minimise its overall cost of capital, maintain financial stability and maximise the value of the firm.**

Optimum Capital Structure = Right Mix of Debt + Equity at Minimum Cost and Minimum Risk

FLOW CHART



Features / Principles of Optimum Capital Structure

A sound capital structure balances COST, RISK, CONTROL, LIQUIDITY and PROFITABILITY.

FEATURES / PRINCIPLES

1. Simplicity

The capital structure should be **simple and easy to understand**.

- Too many types of securities should be avoided.
- The rights and obligations of investors should be clear.
- A simple structure makes financial management easier.

Example: A reasonable combination of equity shares and long-term debt is easier to manage than many complicated securities.

2. Flexibility

The capital structure should be **flexible enough to meet future financial requirements**.

- The company should be able to raise additional funds when required.
- It should also be able to repay or reduce debt when funds are available.
- Flexibility helps the company adjust according to changing business conditions.

3. Full Utilisation of Funds

The funds raised by the company should be **fully and efficiently utilised**.

- Excess funds should not remain idle.
- The company should raise only the amount of capital actually required.
- Proper utilisation improves the earning capacity of the business.

Idle funds → Higher cost → Lower profitability

FEATURES / PRINCIPLES

4. Adequate Liquidity

The capital structure should maintain **sufficient liquidity** in the business.

- The company must have enough cash to meet short-term obligations.
- Excessive debt may increase fixed interest and repayment commitments.
- A proper balance between long-term and short-term funds should be maintained.

Adequate Liquidity = Ability to meet obligations on time

5. Minimum Cost

An optimum capital structure should have the **lowest possible overall cost of capital**.

- Debt is generally cheaper than equity because interest is usually a fixed charge.
- However, too much debt increases financial risk.
- Therefore, a proper balance between debt and equity should be maintained.

Objective:

Minimum Cost of Capital → Maximum Firm Value

Key Balance

Debt	Proper Mix	Equity
Lower explicit cost but higher risk	Balance cost + risk	Higher flexibility but usually costlier

FEATURES / PRINCIPLES

6. Minimum Risk

The capital structure should involve **minimum financial risk**.

- Excessive debt increases the burden of interest and repayment.
- During low-profit periods, high debt can create financial difficulties.
- A company should use debt only up to a safe level.

Therefore:

Higher Debt → Higher Financial Risk

7. Maximum Control

The capital structure should help existing owners **retain maximum control over the company**.

- Issuing additional equity shares may dilute the control of existing shareholders.
- Debt financing does not normally provide voting rights to lenders.
- Therefore, debt may be preferred when management wants to retain control, subject to acceptable risk.

More Equity Issue → Possible Control Dilution

Debt Financing → Usually No Voting Rights for Lenders

FEATURES / PRINCIPLES

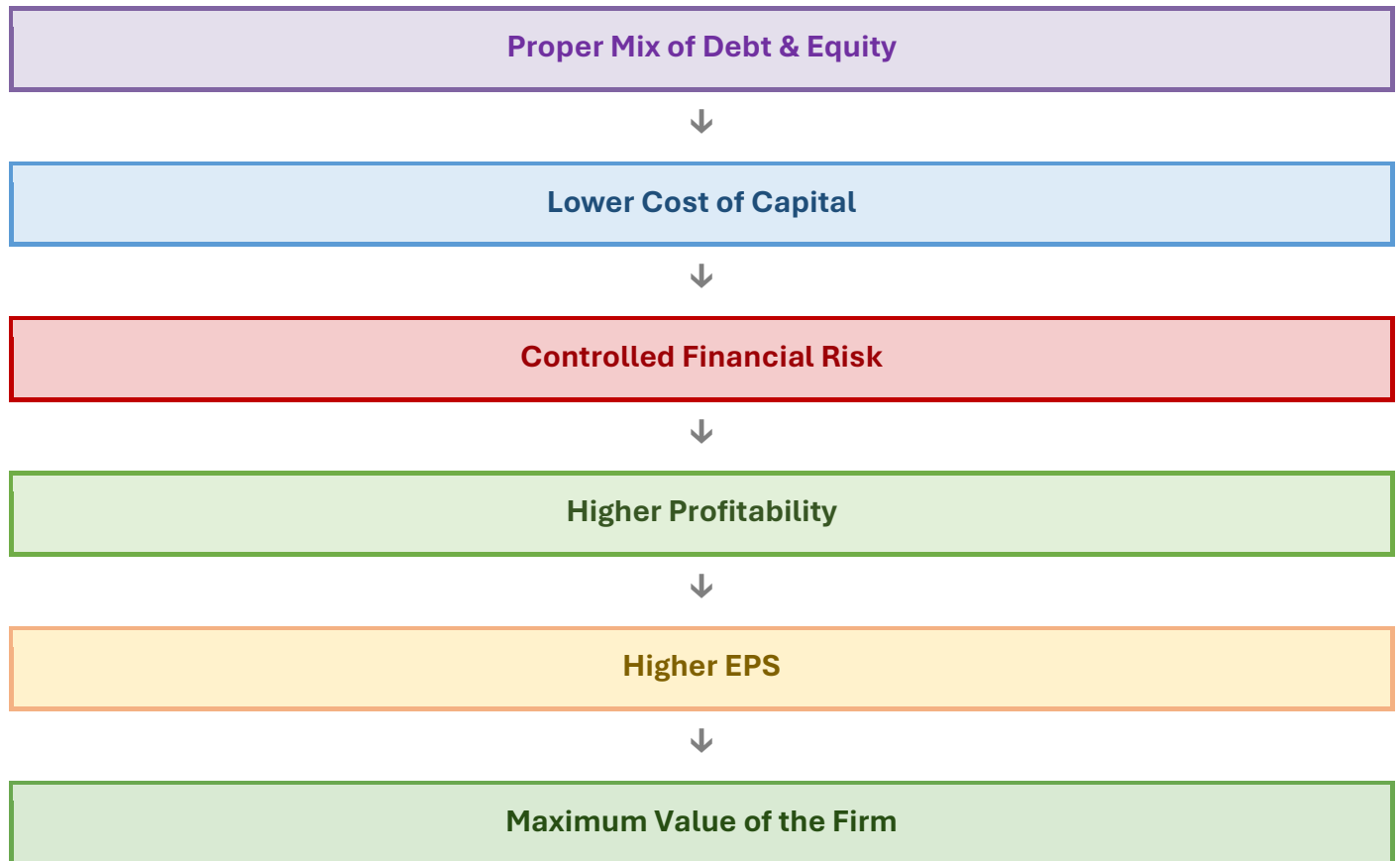
8. Maximum Profitability

An optimum capital structure should help the company **maximise the earnings of equity shareholders**.

- Proper use of cheaper debt can increase Earnings Per Share (EPS).
- This is known as trading on equity.
- However, debt should be used only when the expected return is greater than its cost.

Trading on Equity: Use of fixed-cost funds to improve returns available to equity shareholders.

RELATIONSHIP



QUICK REVISION

BEST MIX = Minimum Cost + Minimum Risk + Maximum Firm Value

8 Principles to Remember

1. Simplicity	Easy to understand and manage.
2. Flexibility	Can raise or repay funds as needs change.
3. Full Utilisation	Avoid idle funds; raise only required capital.
4. Adequate Liquidity	Maintain ability to meet short-term obligations.
5. Minimum Cost	Keep overall cost of capital as low as possible.
6. Minimum Risk	Avoid excessive debt and fixed commitments.
7. Maximum Control	Protect owners from unnecessary control dilution.
8. Maximum Profitability	Use financing mix to improve EPS and firm value.

Exam Relationships

Idle funds → Higher cost → Lower profitability
Minimum Cost of Capital → Maximum Firm Value
Higher Debt → Higher Financial Risk
Proper Debt + Equity Mix → Higher EPS → Maximum Firm Value